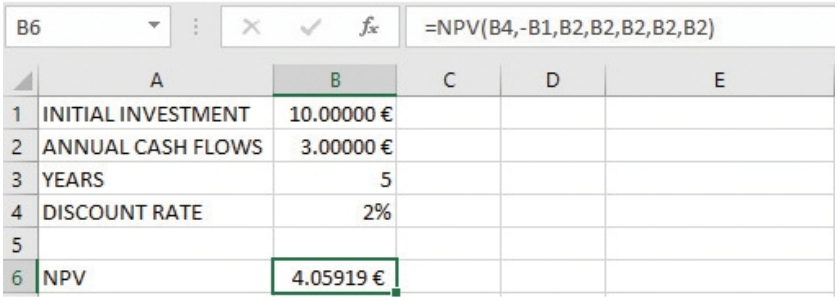
Excel’s NPV function calculates the net present value of an investment by considering a series of cash flows and a discount rate. This function takes into account the time value of money, discounting future cash flows to their present value using the specified discount rate.
The correct syntax for the formula is as follows:

=NPV(rate, value1, [value2], ...)

The “rate” argument indicates the discount rate, while the “value1” argument and subsequent values stand for the cash flows for each period of the investment. Usually, the first value represents the initial investment, while subsequent values indicate the cash inflows or outflows for subsequent periods.
The cash flows must be entered in the order they occur and are evenly spaced over time. The initial cash flow can occur at any time, but all subsequent cash flows must follow at equal intervals thereafter.
A positive NPV indicates that the investment should yield a profit, whereas a negative NPV suggests an anticipated loss.
For instance, to analyse an investment requiring an initial outlay of 10,000 € and generating cash flows of 3,000 € annually for 5 years at a discount rate of 2%, you can calculate the net present value using the following function:

=NPV(0.02; -10000; 3000; 3000; 3000; 3000; 3000)

The result of this formula is 4,059.19 €. This means that the investment should generate a profit of 4,059.19 €, after considering the time value of money.



DATE & TIME FUNCTIONS